when the bank was established to 66,273 in January 1937. The matter was considered serious enough to warrant a report to the government. The fear was that if this process was allowed to proceed unimpeded, it would result in a situation where voting power would be so restricted that it would be liable to manipulation. The government, sensible to the concern showed by Purshotamdas on this matter, introduced a Bill in the summer session of the Assembly but it was crowded out. Purshotamdas was in constant touch with the Finance Member, Sir James Grigg, who had anticipated some opposition to the Bill.

The reasons for Purshotamdas's concern are best explained in his own words. In May 1937, he wrote to the Indian Chamber of Commerce, Calcutta who had asked him for his views on the Bill: T am convinced that it was never the intention of the Legislature to offer in the form of Reserve Bank shares *merely* good investment to the public but it was their intention to give the public an instrument by which they may have their say in the Reserve Bank of India, and, in addition, get a small but reasonable return on their investment…If this opportunity of preventing Reserve Bank shares from passing into unknown hands in this manner is lost, I am afraid the control of the Indian public opinion on the Reserve Bank will be permanently lost.'[7]

The Bill was passed three years later, in 1940, and restricted the number of shares to 200. Despite the amendment, the decline in the number of shareholders continued, and there was a continuous gravitation of shares to the Bombay register, the latter phenomenon explained in part by the temporary arrangements made for the maintenance of the Rangoon register in India during the Second World War.

EXCHANGE RATIO AGAIN

Another of Purshotamdas's contributions after becoming a Director had to do with a subject on which he was an expert, and one on which he had opposed the government on numerous occasions: the exchange rate of the rupee. The weakening of the exchange rate in 1938 brought to the fore, the ratio controversy associated with the demand for a lowering of the exchange rate. The government, sensing that the fall in the exchange rate to the lower point early in June 1938 would provide ammunition to the